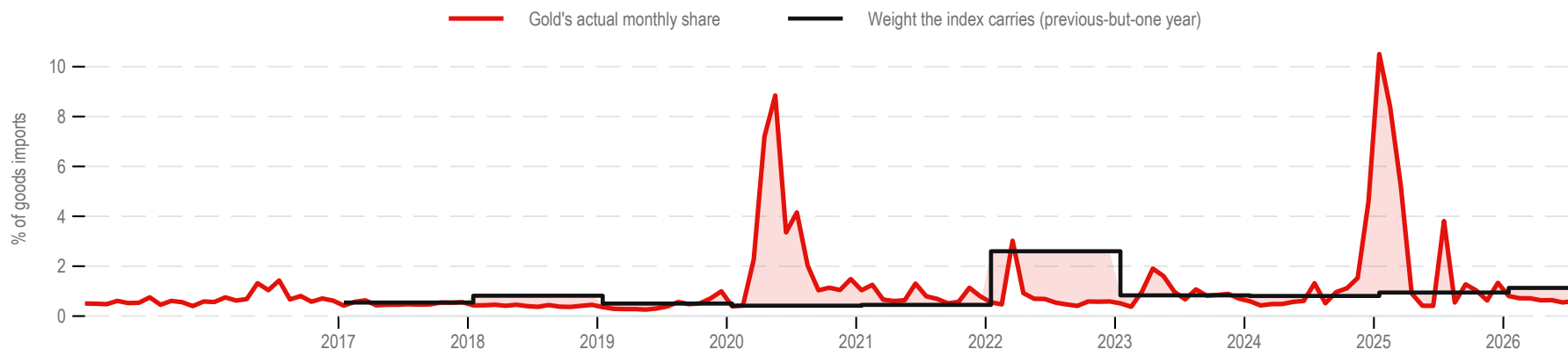


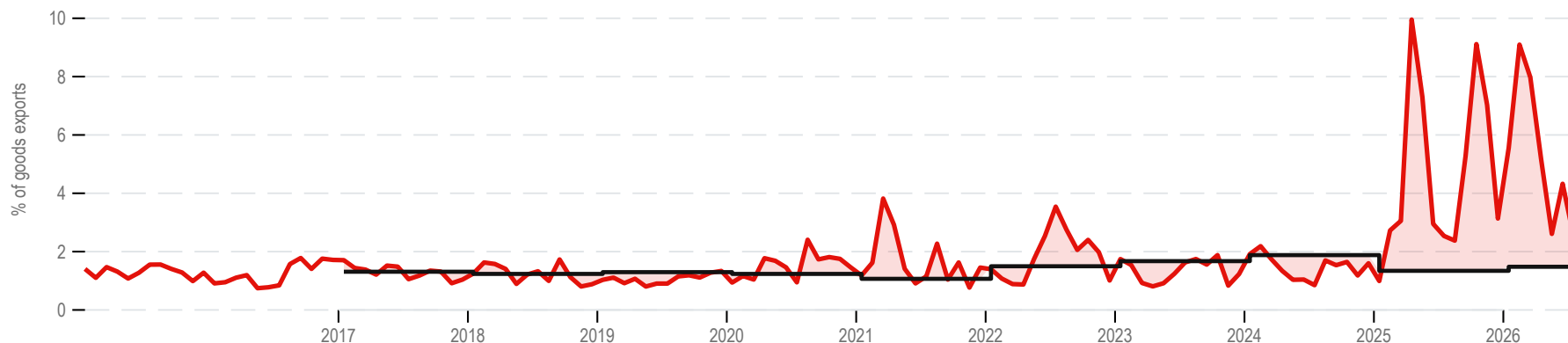
The deflator's basket and the trade it deflates have come apart

Gold is sampled in both price indexes. The question is how much of it they carry, and the answer is set two years late

a. Imports: gold's share of US goods imports, and the weight the import price index carries



b. Exports: gold's share of US goods exports, and the weight the export price index carries



BLS reweights the import and export price indexes every January from Census annual trade values on a two-year lag, so the 2025 indexes carry 2023 weights (BLS Handbook of Methods). The dark step is that rule applied to gold; the red line is what gold's share actually did. A reweighting rule exists to keep the two together, and for gold it fails: the correlation between them is **NEGATIVE** on both sides, -0.11 for imports and -0.05 for exports - no better than a constant. The lag is why. Gold's share spikes and reverts inside a year, so a surge reaches the weights only after the metal has gone home. The index under-weighted gold through 2020, over-weighted it in 2022 once that surge entered the weights, under-weighted the 2025 tariff episode, and by 2026 is over-weighting imports again. Shaded area is the gap. Share is nonmonetary gold (HS 7108 and 7115) over goods trade on a BOP basis. Source: Bureau of Labor Statistics (EIUIR, EIUIQ, EIUIR14270, EIUIQ12260); US Census Bureau; Bureau of Economic Analysis.